

mastercard
foundation

Africa Growth Fund

LEARNING BRIEF

Transforming Investor Mindsets

(Re)defining Risk in
Gender-Lens Investing

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In partnership with



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Overview of the Africa Growth Fund

Box 1: Background on the Mastercard Foundation Africa Growth Fund¹

The Mastercard Foundation Africa Growth Fund (hereafter ‘the Fund’ or ‘the Initiative’) is an innovative USD 200 million fund-of-funds and technical assistance (TA) initiative established to catalyze the ecosystem for Small and Medium Enterprises (SMEs) focussed Investment Vehicles (IVs) and through this, create decent work opportunities for women and youth in Africa. In line with the Mastercard Foundation’s Young Africa Works strategy (YAW), the Fund has identified the following target countries as its geographic focus: Kenya, Ethiopia, Ghana, Nigeria, Rwanda, Senegal, and Uganda. In addition to financial support, the Fund offers business development services as well as Gender, Diversity, Equity, and Inclusion (GDEI), and Environmental, Social and Governance (ESG) capacity building support to IVs and SMEs in the Fund’s portfolio.

A transformational aspect of the Fund’s mission is the reshaping of the Gender Lens Investing (GLI) ecosystem. Moving beyond just gender diversity and empowerment, the Fund’s approach addresses the root power imbalances and biases that have traditionally barred women fund managers and women-led SMEs from accessing capital. This reconfiguration entails crowding in additional capital from capital allocators to leverage investments as engines for socio-economic transformation, with an emphasis on women and youth who tend to be marginalized by conventional finance systems.

1 The Fund has identified the following target countries as its geographic focus: Kenya, Ethiopia, Ghana, Nigeria, Rwanda, Senegal, and Uganda.

Introduction

Traditional investor sentiments suggest that Gender Lens Investing (GLI), especially in African markets, is perceived as carrying a higher level of risk compared to traditional investments. This perception contributes directly to the systemic barriers that women face when raising funds, and is evidenced, for example, by the fact that only 2.3% of all venture capital (VC) funding raised in Africa in 2023 went to solely women-led ventures. Conversely, 85% of VC funding raised went to all-male founded teams, with only 15% of funding being raised by solely women-led ventures or founder teams with at least one woman. This demonstrates a clear system-level issue, where women are disproportionately underserved by the investment community. Despite the growing adoption of GLI mandates by institutional investors and the increasing number of women-led funds operating in the African investment ecosystem, particularly in the small and growing business sector asset class,² the statistics around capital flows towards women-led enterprises indicate a grave and gendered financing gap within the finance and investment ecosystem. This gap is not merely a consequence of individual investment choices but a reflection of the entrenched systems that continue to undervalue and underfund women-led initiatives.

These disparaging statistics also indicate a large “intention action gap” between the growing investor prioritization of GLI and other social impact objectives and the achievement of GLI outcomes in reality. Stakeholders consulted indicated that their institutions resoundingly prioritize GLI and in fact, benefit from having GLI focussed mandates as it attracts more capital from impact focussed institutional investors. However, this prioritization does not always lead to the attainment of GLI outcomes due to systemic conscious and unconscious biases that still exist within investment processes and within the investment ecosystem more broadly. Central to the practice of investment is the assessment of the projected returns of an investment against potential risks. Thus, in the context where investors seek to maximize returns and minimize risk, in order to ensure the achievement of more gender-equitable outcomes, an interrogation of the metrics and subjective lenses through which investors assess the potential risk and return of investment opportunities is required. In the private capital space where there is a dearth of available data on company performance and share prices required by quantitative models of risk assessment, estimations of risk are often driven by investor risk perceptions. These risk perceptions can be informed by both objective assessments of a venture such as assessments of the venture’s financial performance but they can also be informed by an investor’s subjective conscious and unconscious biases.

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The perception of GLI investing is that it is going to be difficult to source quality deals if you’re restricting your target to female-led or female-owned businesses in the value chain. The perception we got was where are you going to find the deals? If you find those deals, where are you going to find quality deals? Most of these businesses are probably going to be too small or cannot even take the amount of capital you deploy. Those were the challenges.

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- African IV

² Collaborative for Frontier Finance (2023) Africa Fund of Funds Platforms: Building the small business finance ecosystem. Available [here](#).



Investment as a practice, although partly dependent on quantitative objective metrics, is inherently a social activity as investors frequently direct capital towards individuals or ventures with whom they share social affinities.³ This inclination stems from the essential role of trust in investment relationships, where familiarity and shared values often play a significant role in decision-making.⁴ Trust built between an investor and investee through familiarity and social affinity can contribute to reduced perceived risk of an investment by the investor. Consequently, investment practices are not merely financial transactions but rather reflections of interconnected social networks and trust-based connections. Due to socio-economic factors, marginalized groups such as people of color and women are often precluded from accessing social networks and affinity groups of capital allocators, who have historically been predominantly white males.⁵ Accordingly, a lack of access to these networks of capital allocators presents a systemic limitation that hinders marginalized groups from building social affinities and trust-based relationships with holders of capital and thus leads to investments in these groups being perceived by investors as “higher risk”.



DEFINING GENDER LENS INVESTING

GLI is a broad concept that encompasses various threads of work, including social finance, women entrepreneurship, and investment in products and services benefiting women and girls.⁶ The Mastercard Foundation Africa Growth Fund “the Fund”, adopts a definition of GLI that is anchored in **1)** challenging and transforming the systemic barriers that prohibit women from effectively raising funds and participating in the investment ecosystem and **2)** the disruption of power dynamics in the investment ecosystem through implementing inclusive investment practices. Through this approach to GLI the Fund aims to challenge and transform finance systems in Africa by critically addressing how power, privilege, and bias operate.

To this end, the Fund defines GLI as investment practices and processes that incorporate the analysis of how power, privilege and bias operate in a specific context, and how this might be disrupted in and through reforming investment practices and systems of finance.⁷ In the context of this definition, GLI seeks to broaden how gender shapes prevailing approaches to assessing risk, return, and opportunity costs in the investment process.⁸

In the context of GLI, due to prevalent social norms and gendered biases, investors may associate the risks of GLI with the potential for lower returns due to both consciously and subconsciously held beliefs about the capabilities of women as FMs. Other biases relate to investors’ perceptions that investing in GLI-focused funds may attract higher fund costs if women FMs take longer to fundraise, and experience difficulties in establishing a robust deal pipeline because adopting a GLI lens restricts the potential pipeline of companies that fit this GLI approach, among other concerns.⁹

Compounding this is the reality that many of these women-led funds and ventures operate in African markets that are perceived as high risk by investors, particularly investors from the Global North. In these contexts, political risk and currency risk¹⁰ emerge as two common risk perceptions while country-level characteristics such as the state of the economy, maturity of its financial markets, and regulations protecting investors also influence the perceived risks of investing in different African countries. In addition, aspiring and emerging FMs face the added challenge of being perceived as riskier because they often do not have the type of track record, such as an extensive history of documented exits that investors use to assess the investment readiness of funds. Additionally, funds that invest in African Small and medium-sized enterprises (SMEs) may be perceived as risky due to the risks associated with a lack of exit opportunities in the African SME space.

³ Gender Smart (2021). A Guide to Investing in First-Time Women and Diverse Fund Managers. Available [here](#).

⁴ Ibid.

⁵ Ibid.

⁶ Criterion Institute (2016). The State of the Field of Gender Lens Investing: A Review and a Roadmap.

⁷ The Fund’s definition of GLI is informed by the work of Criterion Institute who are the gender and power analysis experts in the Fund’s consortium.

⁸ Investing in Women (2020). A Guide for Investors in Emerging Markets, Value for Women. Available [here](#).

⁹ The analysis provided here is informed by Criterion Institute’s Gender Lens Investing Action Plan, which introduces questions at each stage of the investment cycle. These questions aim to uncover how intersectional gender analysis can help to make better investment decisions, by naming potential implicit and explicit gender biases.

¹⁰ Rand Merchant Bank (2021). Where to Invest in Africa. Available [here](#).

This is exacerbated by challenging fund economics whereby the costs of running a smaller fund focused on African SMEs are disproportionately high relative to the returns and fees that can be earned through the fund's investment activities.

Thus it is evident that investor risk perceptions are influenced by several interrelated factors and distinguishing between perceived risks specific to GLI and general market-related risk perceptions associated with investing in Africa can be challenging. Women-led investment vehicles (IVs) that invest in Africa and are run by aspiring and emerging FMs and invest in African SMEs, face risk perceptions that are influenced by multiple layers of underlying factors. IVs that fit this mold and invest with a GLI lens are burdened with an additional layer of perceived risk due to the prevailing sentiment that may be associated with GLI in the African context. The Fund has an opportunity to reshape investor risk perceptions of GLI-focused funds in the African and global investment ecosystem: from risk to opportunity. By doing so, the Fund aims to dismantle the systemic barriers that have long hindered women from accessing investment capital on an equal footing. The Fund can shift these perceptions by unpacking risks faced by FMs who are fundraising on the continent and exploring and disseminating lessons arising from potential solutions. The differentiation between market risks and specific risks related to GLI will facilitate a better understanding of **1)** the factors shaping investors' risk perceptions and **2)** the strategic levers that the Fund can utilize to influence these perceptions. This learning brief will document the Fund's early experiences as one of the largest active GLI fund-of-funds on the African continent.

Objectives and scope of the report

The study focuses on investigating the prevailing risk perceptions of investors concerning GLI in Africa. By analyzing dominant risk perceptions and their determinants, the research seeks to offer a comprehensive view of the challenges and opportunities associated with GLI initiatives in Africa.

Furthermore, the study seeks to uncover the commercial and social impact benefits of GLI in Africa and highlight the unique opportunities that GLI presents for unlocking economic growth in the region. By delving into the benefits associated with GLI and identifying the potential for economic advancement, the research aims to provide insights into the broader implications of gender-focused investment approaches in driving positive change and sustainable growth in African markets.

The study intends to investigate promising ideas, solutions, and examples of how the Fund and other funds-of-funds can not only influence investors' risk perceptions to garner greater support for GLI on the continent but also realize the opportunities of GLI. By highlighting innovative approaches and successful strategies for shifting investor mindsets, the research aims to contribute to the advancement of gender-inclusive investment practices and facilitate a more supportive environment for GLI in the African investment landscape.

“

There are a number of different challenges at play here. As a first time female fund manager in Africa I am trying to get people to invest in three things they don't like: first-time fund managers, women managing their money and investing in Africa. So there are three biases that I need to navigate.

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- African IV





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Methodology

A mixed-methods approach has been used in the development of this learning brief. It is informed by insights from the Fund's learnings to date, desktop research, primary data collected from interviews with stakeholders in the African investment ecosystem, and available quantitative data from existing databases.

In this way, the brief builds on the experiences of the Fund and the IVs in its pipeline, the majority of whom are aspiring and emerging women FMs with lived experiences of how investors perceive the risks of GLI. The use of desktop research builds on the work already undertaken by prominent actors in the GLI ecosystem and encompasses insights published by a wide range of stakeholders including academics, development finance institutions (DFI's), fund-of-funds initiatives, think tanks, and investing networks.

Interviews with 20 ecosystem stakeholders¹¹ were also conducted as part of the primary data collection. These consisted of interviews with IVs in the Fund's portfolio, IVs outside the Fund's portfolio, investors in the form of DFIs and private capital allocators as well as expert networks and organizations working in the GLI space in Africa. A single comprehensive KII guide was used to gather stakeholder insights, however, the learning brief prioritized FMs and fund-of-funds understanding and views on risk perceptions. The brief further leveraged insights from other KIIs to juxtapose the viewpoints of different participants within the investment ecosystem, thereby offering an encompassing depiction of the varied strategies and perceptions of investment readiness. These interviews provided first-hand up-to-date information from actors in the ecosystem and offered an opportunity to delve deeper into the research questions that this brief aims to address.

11 Appendix 1 includes a detailed list of the ecosystem stakeholders consulted for this learning brief

Understanding Investor Perceptions of Gender-Lens Investing

GLI has gained traction globally, presenting investors with a spectrum of opportunities to engage in ventures that not only deliver returns on investment for investors, but more importantly, advance economic development, enhance profitability, expand social impact, and contribute to sustainable change.¹² Recognizing the influence of gender on power dynamics within finance, GLI seeks to recalibrate these forces to achieve a more balanced and equitable investing environment.¹³ This approach not only promotes gender equality but also underscores the importance of gender considerations in effective investment processes and practices.¹⁴ By meticulously measuring specific changes in investment practices regarding power, privilege, and bias, GLI reinforces its potential for contributing to sustainable and long-term gender equity goals, enhancing the overall quality and impact of investments.¹⁵



DIFFERENCE BETWEEN INVESTING IN WOMEN VERSUS INVESTING IN GLI¹⁶

Investing in women focuses primarily on directing funds to businesses that are led by women, involve significant ownership by women, or have a substantial number of women in leadership positions. The core objective of this strategy is to empower women economically through capital investment, thereby promoting their participation and leadership in the business world. It tends to be a more targeted approach that is a subset of GLI. A notable challenge with investing in women is the societal bias that often perceives such investments as higher risk, despite evidence to the contrary. To counteract this, specific de-risking mechanisms are put in place to support women entrepreneurs, acknowledging that the perceived risk is often rooted in bias rather than actual operational or financial risk. Sex-disaggregated data is central to this type of investment, as it focuses heavily on the role and impact of women within companies.

On the other hand, GLI takes a more comprehensive approach, embedding gender-based considerations throughout the entire investment process. This includes not just investments in women-led IVs but also scrutinizes how funds, through their policies and practices, impact women and other gender minorities at all levels. The objective here is broader: to address gender inequalities and foster gender equity while still pursuing robust financial outcomes. What sets GLI apart is its systemic focus, targeting the barriers and structural inequities that women face in the economy, not just individually but across the entire market.

¹² Criterion Institute (2019). Key Concepts in Gender Lens Investing: A Primer for Investors. Available [here](#).

¹³ Gender Smart (2021). A Guide to Investing in First-Time Women and Diverse Fund Managers. Available [here](#).

¹⁴ Criterion Institute (2024). Introducing Standards of Practice for Gender Lens Investing.

¹⁵ Ibid.

¹⁶ This demarcation was made based on information provided by an interviewed GLI expert and is corroborated by the Fund's report on mapping the GLI landscape in Africa.



Investment risk commonly refers to the potential for an investor to experience losses due to factors that affect the overall financial market or specific industries. This conventional perspective delineates several types of risk, including but not limited to market risk, credit risk, liquidity risk, operational risk, and country-specific risks.¹⁷ Market risk involves the possibility that investment returns will fluctuate because of broad market factors, such as economic changes or political events.¹⁸ Credit risk is the likelihood that a borrower will default on their financial obligations, affecting the return on debt investments.¹⁹ Liquidity risk arises when an asset cannot be sold quickly enough in the market to prevent a loss or make the necessary profit.²⁰ Operational risk pertains to losses resulting from inadequate or failed internal processes, systems, or policies. Lastly, country-specific risks involve the uncertainty associated with investing in a particular country, encompassing economic, political, and social turmoil that could impact investment returns.²¹

There is no neat separation of market risk and GLI risk. In fact, the two are often interconnected. As will be elaborated below, investing in women-led funds in Africa can be subject to heightened investor risk perceptions due to the interaction of market risk and perceived GLI risk. However, it is still instructive to observe what the underlying factors are that separately inform general market risk and GLI risk. This can help to detect their unique drivers and how those drivers relate to each other. Through this analysis, funds-of-funds may be better able to focus their strategies to shift investor mindsets and provide needed support to IVs.

Underlying factors affecting prevailing risk perceptions of investors regarding GLI

In exploring the landscape of GLI in Africa, it is imperative to delve into the prevailing sentiments and perceptions that inform investors' risk perceptions. Understanding the attitudes, beliefs, biases and risk perceptions that shape investor decision-making is essential to effectively promoting and advancing gender-inclusive investment practices on the continent.

The circumstances faced by women-led IVs in African economies may influence risk perceptions because the challenges they encounter can be misinterpreted as indicators of higher investment risk.²² Limited access to financial resources and formal banking suggests to investors that women-led funds may have a lower capacity to finance their funds and manage fund liquidity effectively.²³ Smaller fund sizes and greater difficulties in scaling deal-making are often seen as a lack of market competitiveness or proof of limited growth potential. Furthermore, the lack of collateral and a weaker credit history can signal a higher default risk to investors in women-led funds.²⁴

¹⁷ Putnam Investments (n.a). Investment Risks. Available [here](#).

¹⁸ Ibid.

¹⁹ Ibid.

²⁰ Ibid.

²¹ Ibid.

²² Gender Smart (2021). A Guide to Investing in First-Time Women and Diverse Fund Managers. Available [here](#).

²³ Collaborative for Frontier Finance (2022). Annual Local Capital Provider Survey 2022: Small Business “Missing Middle” Finance in Africa and the Middle East.

²⁴ Gender Smart (2021). A Guide to Investing in First-Time Women and Diverse Fund Managers. Available [here](#).

Entrenched gender biases questioning women's business acumen can unfairly color investor judgment, leading to an assumption that women-led businesses are less likely to succeed. For example, an expert relayed that there is an observable ambition bias in the investment sector where men are more likely to promise investors high returns, creating a perception of their capacity to achieve greater profit targets, which may not always align with actual outcomes; conversely, women tend to offer more conservative and realistic return estimates. This section explores how unconscious prejudices, conflation with philanthropic efforts, and entrenched stereotypes within the investment community, particularly in African markets, impede the true potential of GLI, thus affecting the scalability of women-led ventures and obscuring the commercial viability and social imperative of GLI-focused funds.

Exclusion from the Boys Club: Relationships and network building

Stakeholders interviewed have indicated that reduced access to investor networks means that women may lack the support that can often mitigate risks, like mentorship from experienced industry players and access to business opportunities. Due to these factors, investors might conclude that investing in women-led IVs involves more uncertainty and a greater likelihood of underperformance, thus deeming them as riskier investments. Some stakeholders shared that this lack of access is further exacerbated because the professional environment, including the fund management industry, has historically been male-dominated and can operate as a 'boys club'. Based on views expressed by interviewed stakeholders, this dynamic can lead to the exclusion of women from informal networking events such as social drinking, sports activities, and other settings that are critical for opportunity access. Alternatively, women fund managers who seek to be included may have difficult choices to make to balance different aspects of their lives, which can take a toll.

This exclusionary pattern extends to the perception of risk associated with women-led funds. For instance, because women may have less access to the social settings where investment decisions are frequently discussed and made, they may face a narrower range of investable opportunities. This limited access can result in a less extensive track record in deal-making, thereby reinforcing investors' risk perceptions towards women-led funds.

A Gender-biased misunderstanding of GLI

Stakeholders indicated that conscious and unconscious biased perceptions held by institutional investors manifest in several ways and exacerbate the perceived risk. Such biases include doubts over women's decision-making and strategic thinking capacities, apprehension about their ability to manage risk, and concerns over the scalability and profitability of women-led funds. For example, a stakeholder interviewed cited that PCs led by men may struggle to accept women's leadership when engaging with a women-led fund management team.

Another bias held by some institutional investors is that gender-focused funds often face the challenge of being unfairly categorized regardless of their unique investment strategies and target companies. One stakeholder consulted relayed that an example of this is that GLI often gets conflated with philanthropy, leading



I'm excluded from a range of drinking/networking/boy sport activities where my peers have better access to opportunities. So one would expect the same in a previously/currently male dominated profession like fund management.



- Expert Stakeholder





It's harder to operate in PE (private equity) as a female professional compared to a man - women FMs in the investment space are likely to be working with PCs that are led by men so there may be a layer of difficulty that being a woman introduces into the FM and PC relationship if these male founders are not open to being managed/led by a woman.

At the beginning of raising the fund, the biggest challenge was just getting people to even understand what we meant when we said GLI. It was hard to convince investors. They were sceptical about the viability of a GLI strategy.

Male FMs often display a bravado that is mistaken for a sign of potential performance, while women FMs like myself must overcome assumptions that limit us to certain types of investment, such as the false notion that GLI is our sole focus. Despite my diverse background, such biases can narrow perceptions of my capabilities. I must consistently remind stakeholders of my extensive experience beyond GLI to overcome these hurdles.



to misconceptions that frame GLI as primarily focused on social causes rather than commercial objectives.²⁵ This perception can taint the reputation of GLI funds, associating them with philanthropic, Corporate Social Responsibility (CSI) or developmental initiatives rather than recognizing their potential for financial returns and their ability to manage investment risk for sustained performance.²⁶

Related to the above point is the tendency for investors to focus too intensely on the gender aspect to the extent that they overlook the fundamental business case of female FMs. This skewed attention can contribute to a misconception that gender-lens funds may not align with traditional investment performance standards, potentially leading to premature and inaccurate categorizations of these funds without proper consideration of their actual investment merits and potential profitability.²⁷ According to stakeholders, investors may as a result allocate less time to discussions surrounding the business rationale and financial projections of an opportunity, resulting in a premature dismissal of the investment strategy.²⁸

Investors may also assume that women FMs with a GLI focus primarily focus on investing in SMEs. Several stakeholders indicated that the misconception that female FMs are exclusively interested in SME investments can lead to a biased perception that they will not be able to raise a scalable, commercially viable fund.²⁹ This assumption undermines the diverse investment goals and strategies that female fund managers may have, limiting their opportunities to scale their investments and grow their portfolios.

Additionally, risk perceptions can perpetuate when women FMs with a focus on GLI are perceived as advocates for gender equality rather than as capable investors who aspire to use finance as a tool for social change. This can lead to an undervaluing of their expertise and the key skills women FMs have, including their experience, knowledge and networks.

When potential investors solely perceive women FMs as advocates for gender equality, investors can miss the opportunity to ask FMs questions that deeply probe their broader expertise.³⁰ In so doing, investors' pigeonholing of women FMs can contribute to perpetuating investors' own risk perceptions since they may not have full or detailed information available on women FMs' financial acumen, market insights, and ability to generate returns. This pigeonholing, therefore, can create a distorting cycle of self-perpetuating risk perceptions.

²⁵ Adrienne Robers (2016). The limitations of transnational business feminism: the case of gender lens investing. Available [here](#).

²⁶ Quinlan, J. & VanderBrug, J. (2017). *Gender Lens Investing: Uncovering Opportunities for Growth, Returns, and Impact*. Wiley: New Jersey.

²⁷ Ibid.

²⁸ Ibid.

²⁹ Jessica Espinoza Trujano & Lelemba Phiri (2022) Triple dissonance: women-led funds. With a gender lens. In *Africa., Journal of Sustainable Finance & Investment*, 12:3, 763-784, DOI: 10.1080/20430795.2021.1990832

³⁰ Ibid.

Interaction of different factors underlying investor risk perceptions

Investors' unfamiliarity and/or reluctance with working with **GLI-focused and women-led IVs** can also result in increased perceptions of the riskiness of these IVs. This enhanced perception of risk is not purely financial but is deeply intertwined with the prevailing demographics of the investment community.

Historically, the finance and investment industry has been largely dominated by white male institutional investors whose investment patterns have traditionally favored similar demographics, predominantly situated in the Global North where a greater concentration of financial capital is held.³¹ Such geographical and cultural distance from the African markets where many GLI opportunities are located contributes to a gap in understanding and valuing GLI-related business models.

Accordingly, when the investment proposition targets a perceived industry blind spot and deviates from the conventional risk-standards typically observed by these institutional investors, it can lead to a lack of understanding and appreciation for the business case. One stakeholder observed that even when an investor expresses appreciation for a business case, institutional investors are more inclined to invest in a team led by both a woman and a man, instead of a team solely led by a woman.

Against this backdrop, the idea of GLI investors focussed on reallocating capital to women-led businesses and providing capital to underserved markets that are predominantly made up of women, challenges traditional investment paradigms, making it an unfamiliar territory for many investors.³² The compounded effects of investors' limited familiarity with women-led enterprises, coupled with gendered biases against women as FMs and entrepreneurs, create a complex environment that hampers investors' ability to take the business rationale of women FMs seriously.

Moreover, when these challenges **intersect with existing stereotypes about Africa as an investment destination**, the complexities are further magnified. The convergence of these factors—gendered dissonance, stereotypes, and unfamiliarity with the investment landscape—contributes to a situation where investors struggle to grasp the business case presented by gender-lens investing initiatives on the continent.

In contrast to global North economies, African markets present unique challenges characterized by a lack of reliable data and the intricate interplay between political and economic dynamics. Merely transplanting data-dependent, specialist models into African markets can leave investors ill-prepared to navigate the unique operational risks within African economies.³³ Success in the African market requires an understanding of long-term trends, socio-economic and political forces, and adapting strategies to the evolving landscape.³⁴



A white male FM might not be questioned about his ability to manage a different type of fund, whereas a woman or person of color would face skepticism despite having relevant skills and experience.

It's not like investors don't like women. Obviously, they like women but they just don't like the idea of women managing their money.



- African IV

- ³¹ Runde, D.F., Savoy, C.M. & Staguhn, J. (2021). Supporting Small and Medium Enterprises in Sub-Saharan Africa through Blended Finance, Center for Strategic & International Studies. Available [here](#).
- ³² Investing in Women (2020). A Guide for Investors in Emerging Markets, Value for Women. Available [here](#).
- ³³ Arditti, G. & Hruby, A. (2022). As Africa becomes an imperative, investors must discard outdated risk perceptions, London School of Economics. Available [here](#).
- ³⁴ Ibid.





At the beginning of raising the fund, the biggest challenge was just getting people to even understand what we meant when we said GLI. It was hard to convince investors. They were skeptical about the viability of a GLI strategy. Then add in the African risk factor as well.

This was a tough time to be raising money between 2023 and 2024 when all capital flight was away from the continent. We've had Ghanaian, Zambian and Ethiopian defaults.

FX has been the biggest negative perception that we've had to face in all categories of investments. Individuals, family offices, foundations, everyone. We are dealing with a US foundation right now that said 'we want to invest in you but you have to agree not to go to West Africa. Stick to East Africa and Southern Africa'. That's it, and yet we are a pan-African fund. They don't want to take that risk. We're looking at Côte d'Ivoire and Senegal because they bring in some diversification and less FX volatility than Nigeria and Ghana.



Additionally, the absence of sex-disaggregated data among banks and capital providers in the region hinders their understanding of women clients, leading to limited capacity in developing tailored financial products and channels that align with women's needs, preferences, and behaviors.³⁵ As a consequence, women entrepreneurs and FMs may find themselves constrained to using financial tools and instruments that are primarily modeled on the behaviors and experiences of men who have a different experience of the investment landscape, thereby overlooking the unique financial requirements and constraints faced by women. This lack of tailored financial solutions can contribute to women facing challenges in accessing appropriate financial services that cater to their specific circumstances and preferences.³⁶ Sex-disaggregated data alone will not overcome this constraint.

Rather, there is an opportunity to radically reconsider the types of data and data sources that are input into investors' analyses of risk. For instance, it may be more appropriate to analyze data related to gender-based violence (GBV) within a risk assessment. This reframing of a pertinent gender-related social issue can help to value GBV in financial models and can reconceive how operational, political, regulatory and reputational risks present in investments.³⁷

The perceived risks and biases that GLI initiatives face can also intersect in ways that amplify the perceptions of their riskiness.

The intersectionality of **investing in women and investing in Africa** - a region that is not always seen as commercially viable, can present a "double tragedy" in the investment landscape. Despite Africa's potential for growth and investment opportunities, there are lingering perceptions of risk and instability that could deter investment in the region. Investors consider various factors, such as the potential for currency depreciation, when deciding where to allocate their capital. The comparison of potential returns in Africa to those in more stable economies often influences their decision-making.

Unlike Europe, where funds are supported by robust investment networks that can provide risk capital, similar networks in Africa are less developed. Economic downturns also tend to result in capital flight from emerging markets to more stable economies, further challenging the investment inflow to African markets. This perception of Africa as a less attractive investment destination can exacerbate the hurdles faced by GLI initiatives.

Large European and US investors commonly approach African investment opportunities with a self-referential bias, viewing African markets through the lens of their own familiar operating environments.³⁸ Many of these investors tend to apply a high-risk premium strategy to account for the perceived challenges of investing in African markets.³⁹ However, the realities of African markets diverge from these perceptions, presenting a unique combination of liquidity and volatility largely due to systemic local currency risks.

³⁵ Criterion Institute (2019). Key Concepts in Gender: A Primer for Investors. Available [here](#).

³⁶ Gender Lens Investing: How Finance Can Accelerate Gender Equality in Latin America and the Caribbean.

³⁷ Criterion Institute (2021). Gender-based Violence Risk Score. Available [here](#).

³⁸ Arditti, G. & Hruby, A. (2022). As Africa becomes an imperative, investors must discard outdated risk perceptions, London School of Economics. Available [here](#).

³⁹ Ibid.

This dynamic has shifted the investment landscape, where once achievable 20% Internal Rate of Return (IRR) targets in private equity (PE) are no longer the norm.⁴⁰ The continent's market conditions have evolved, and the past era of reaping high IRRs in lower-risk PE environments has ended. In the context of GLI, these preconceptions add another layer of complexity. GLI funds, particularly in the medium to long term, are still in the process of proving sustained profitability. Consequently, investors focus on IVs that promise the highest returns and exhibit strong growth potential to mitigate risk.

The specificity of challenges related to gender becomes clear in practices such as traditional debt financing in Kenya. Here, normative assumptions heavily impact banks' lending decisions, with women being categorized as high-risk borrowers. Banks justify this stance by citing factors such as women's lower levels of financial literacy, insufficient personal collateral (evidenced by only 5% of land titles being jointly registered to women and men, and merely 1% in women's sole names), and complex borrowing procedures. These gender-based challenges are further intensified by entrenched cultural and social norms that act as barriers to women's access to financial support from banking institutions.

Case studies of initiatives that challenge prevailing investor risk perceptions

While the GLI ecosystem in Africa is still fairly nascent as evidenced by the number of actors in the space and the amount of capital dedicated to GLI, it has been growing rapidly and is well established in other regions of the world. As of 2019, there were a total of 192 active GLI vehicles globally with a defined GLI strategy across public and private markets. These funds had an estimated USD 7.7 billion in assets under management with an estimated 11% of these vehicles targeting Sub-Saharan Africa.⁴¹ The global proliferation and advancements in GLI indicate that there are lessons for the African investment ecosystem to learn from other regions. By examining successful GLI initiatives and best practices on a global scale, African stakeholders can draw inspiration and insights to further advance gender equality and challenge gender norms and biases within their investment frameworks. The section below profiles GLI initiatives in Africa and at the global level that are working to challenge gender norms and biases.

The Japan ASEAN Women Empowerment Fund (JAWEF) is a microfinance investment fund managed by BlueOrchard Finance Ltd. The Sasakawa Peace Foundation made a significant investment of USD 30 million in JAWEF. To de-risk this investment, the Japan International Cooperation Agency (JICA) and The Japan Bank for International Cooperation (JBIC) participated as junior investors. In this capacity, JAWEF effectively used blended finance to bolster the investment structure and mitigate investors' perceptions of risks associated with the fund. JAWEF operates as a three-tiered fund that leverages first-loss and mezzanine tranches to mobilize institutional investors in senior tranches. The efficacy of this approach is demonstrated in the size of JAWEF's close in 2016, in which it raised a total of USD 120.5 million and that it was able to increase its size in its second fundraising round in 2019 to USD 241.0 million.⁴²

ICCO Cooperation, a prominent Dutch NGO, serves as the sponsor investor for Capital 4 Development (C4D), a Dutch impact investment manager. C4D successfully raised a USD 30 million fund dedicated to supporting Small and Medium Enterprises (SMEs) focused on tackling local challenges and addressing industry inefficiencies in India, Indonesia, and the Philippines. To bolster the fund and mitigate risks, ICCO introduced de-risking mechanisms, such as a USD 10 million first-loss facility and a preferred return rate for other investors. These measures aimed to attract additional investors by providing assurance and enhancing the risk-return profile of the investment opportunity.

⁴⁰ Ibid.

⁴¹ Suzanne Biegel (2020). Gender Lens Investing Landscape - East and Southeast Asia. Available [here](#).

⁴² Further details on this case study available [here](#).



CASE STUDY: AFFIRMATIVE FINANCE ACTION FOR WOMEN IN AFRICA

The Affirmative Finance Action for Women in Africa (AFAWA) initiative showcases a pioneering financial model designed to empower African businesswomen by mitigating the financial barriers they often face.⁴³ This case study focuses on two primary components of AFAWA finance: a substantial risk-sharing instrument and a unique rating system intended to spur lending to women entrepreneurs.

By providing **partial credit guarantees** to financial institutions, AFAWA aims to incentivize banks and other traditional financial entities to extend more loans to women entrepreneurs, ultimately increasing the availability of capital for women's business ventures across the continent. In this way, AFAWA aims to use credit guarantees to catalyze greater capital flows to women entrepreneurs, by mitigating the risks perceived by financial institutions.

This risk-sharing arrangement entails a USD 300 million commitment by AFAWA, backed by the African Development Bank (AfDB), and is projected to catalyze up to USD 3 billion in credit for African women in business. The instrument serves as a form of credit enhancement, intended to alleviate the perceived risks that financial institutions may associate with lending to women-led enterprises.

Accompanying the risk-sharing mechanism is an **innovative risk rating system** that assesses the performance of financial institutions in terms of both the proportion and quality of their lending to women, as well as the broader socioeconomic impact of their financial activities. Metrics for evaluation include the volume of loans disbursed to women-owned businesses, the terms and conditions of these loans, and the downstream effects on women's economic empowerment and community development.

Financial institutions that demonstrate a strong track record in these areas are recognized and rewarded. For example, the AfDB will offer financial institutions with good ratings preferential financing terms. This approach creates a competitive environment that encourages banks and lenders to not only increase their lending portfolios to women entrepreneurs but to also ensure that such lending is impactful and supportive of women's economic advancement. Offering preferential financing terms incentivizes banks to not only expand their lending to women but also to ensure it is impactful. This competitive framework encourages a reevaluation of perceived risks and promotes success stories, which can help shift cultural perceptions and demonstrate that investing in women is both socially beneficial and a sound business decision.

The AFAWA finance case study exemplifies a concerted effort to address the gender gap in access to finance for African women entrepreneurs. Through its strategic risk-sharing arrangement and an incentives-based rating system, combined with the supportive framework of initiatives like the 2X Challenge, AFAWA is pioneering a model that could significantly transform the economic landscape for women in Africa, setting a precedent for similar gender-focused financial interventions globally.

⁴³ African Development Bank Group (n.a). AFAWA (Affirmative Finance Action for Women in Africa): Bridging the Finance Gap for Women in Africa. Available [here](#).



4

Promoting Gender-Inclusive Investment Practices

To effectively promote GLI, tailored strategies and mechanisms are essential in reshaping investor attitudes towards inclusivity. This section details the Fund's approach and approaches put forward by stakeholders consulted on how to promote GLI investment strategies and practices.



SPOTLIGHT ON THE MASTERCARD FOUNDATION AFRICA GROWTH FUND

Though early in its journey, the Fund is strategically positioned to shift investor perceptions, advancing gender equity and success in the investment ecosystem through its investment, GDEI and ESG strategies as well as within the consortium itself.

Implementing strategic frameworks in service of GLI: The Fund's investment strategy targets investments in first-time and emerging IVs with women leaders or gender-diverse teams. By anchoring in these ventures, the Fund attracts additional investors and shares knowledge to influence the perception of GLI risk.

The Fund has also woven power-reflexive and gender-responsive principles into its Theory of Change (ToC), laying the groundwork for a more nuanced and informed approach to investing. This ToC is not static but an evolving blueprint that the Fund scrutinizes and adapts, drawing out valuable insights to distribute among its partners and stakeholders. This iterative learning process is vital to the Fund's investment strategy, ensuring that GLI remains central to its investment philosophy.

Risk perceptions of African women-led IVs: Perceptions of investment risk in women-led IVs can be influenced by misunderstandings of the challenges faced by women in the finance and investment ecosystem. Limited access to financial services and smaller fund sizes can be incorrectly interpreted as indicators of limited fund management capabilities and non-competitive market presence. The Fund also recognizes the complex interaction between market risk and GLI risk, particularly in the context of women-led funds in Africa. This complexity is unearthed in the Fund's baseline GLI report, which aligns with the Mastercard Foundation's Young Africa Works (YAW) strategy and examines the investment landscape for African women-led IVs.

Data and insights for gender equity: The absence of sex-disaggregated data from regional banks and financial institutions affects their ability to fully understand female clientele and to devise financial products and services that cater to women's specific needs and preferences. There is therefore an opportunity for the Fund and other fund-of-funds to adopt new types of data, such as information pertaining to gender-based violence (GBV), to provide more nuanced insights into GLI risk within financial models.

Collaborative knowledge sharing: The lack of robust investor networks for women results in fewer opportunities for mentorship and business development. A professional culture that favors male dominance may restrict women's access to informal networking that is beneficial for business growth, contributing to the perception of increased investment risk in women-led IVs. The Fund recognizes that there is a need to create opportunities for women-led IVs to share mutual learnings through shared platforms, working groups, and partnerships. Thus the Fund has held a webinar for the fund managers in its portfolio to share peer learnings and intends to host future peer-to-peer learning events for fund managers in its portfolio.

Addressing and transforming internal fund-of-fund power dynamics: A GDEI consortium partner of the Fund plays the role of creating awareness around power dynamics within the Fund's investment practices and processes and the wider investment ecosystem and works to transform attitudes towards gender equity within its consortium, aiming for widespread impact. The Fund's GDEI specialist, by implementing a baseline for gender mainstreaming and advocating for a gender transformation within the consortium partner organizations, aims to inspire transformative change that extends beyond the life-cycle of the Fund.

The need to experiment with novel approaches to shift risk perceptions and investment practices is acknowledged by the Fund. Its GDEI partner, Criterion Institute, has recently developed a framework entitled 'Standards of Practice', which can be used to embed gender into investment analyses, processes, and structures.

The Fund is proactively working to transform the perception of GLI from one of risk to one of opportunity, particularly within the African investment ecosystem, and more broadly within the global investment community. This proactivity stems from the Fund's investment strategy, which articulates the Fund's mandate to invest in first-time and emerging IVs, including those led by women FMs or managed by gender-diverse fund teams. This explicit mandate extends further, in that the Fund explicitly targets crowding in other investors by anchoring investment into these opportunities. Finally, the Fund seeks to go beyond its own investment activities to play a catalytic and transformative role in the investment ecosystem, by sharing practical experience and knowledge in a manner designed to influence the risk perceptions of other investors.

The Fund also employs specific practices designed to place GLI at the heart of its investment approach. This includes the incorporation of power-reflexive and gender-responsive principles into its Theory of Change (ToC), which lays the theoretical foundation for a more comprehensive approach to investing that considers gender dynamics. The Fund is also committed to assessing and learning from this ToC over time and sharing these lessons with stakeholders.

The Fund has also engaged a Gender Diversity and Equality Inclusion (GDEI) specialist think tank. This collaboration is designed to guide consortium partners, IVs, and PCs toward more gender-responsive practices within their own organizations and investment practices. It signals a commitment not only to seek returns on investments but to also drive a paradigm shift in the way capital is screened, evaluated, and deployed to IVs. In addition to enhancing the capacity of IVs and PCs, the Fund is also focusing on altering the attitudes and behaviors of various stakeholders within the fund-of-funds consortium.

This includes conducting a baseline for gender mainstreaming within consortium partners' organizations and fostering gender transformation within consortium partners' own organizations, which the Fund believes will have a cascading impact on broader gender equity in the investment ecosystem. This group includes fund advisors, business development service providers, communications experts, and learning partners. Investing in the consortium members' understanding and application of GDEI is envisioned to have a ripple effect—propelling the potential for systemic change even after the Fund's lifespan.

Finally, the Fund's GDEI specialist along with a learning partner organization (LPO) have undertaken baseline landscape studies of GLI across the African continent. This involves gender-responsive market assessments in the 7 target countries of Mastercard Foundation countries Young Africa Works (YAW) strategy.⁴⁴ By committing resources to these research and capacity-building efforts, the Fund aspires to shift the narrative around GLI and promote its recognition as an opportunity, not only for FMs and institutional investors but for all investment ecosystem players. The Fund's commitment to the SGB investment ecosystem is exemplified by it being one of the most active investors in the space.

Stakeholder approaches to promoting GLI investment practices

To encourage the growth and appeal of GLI, interviewed stakeholders have shared several strategies based on their expertise and observations which are outlined below.



Lowering Investing Costs: Holding off on management fees to attract investors can make gender-inclusive investment opportunities more appealing. By reducing costs for investors, particularly in the initial stages, GLI initiatives can incentivize participation and encourage more capital to flow into GLI initiatives. However, this approach is balanced against the perils of liquidity constraints experienced by women-led IVs, which often necessitates the need for approaches like working capital allocations. In fact, interviewed stakeholders also indicated that investors could provide higher management fees initially as a tactic to help support women-led IVs in the initial set up phase. Additionally, lowering investing costs explicitly devalues GLI, which will not advance mindset shifts amongst investors.



De-Risking Mechanisms: For investors seeking to mitigate perceived risks for themselves and others in the GLI landscape, implementing de-risking strategies is vital. Interviewed stakeholders indicated that by adopting measures such as investing big ticket sizes into IVs, allocating grant capital, participating in junior tranches, supplying first-loss capital, and integrating technical assistance, investors can play a critical role in reducing the perceived hurdles associated with GLI, including mitigating fundraising risk, which in turn can attract other co-investors.



In the 18 months since the commitments in Aruwa Capital and Inua Capital, with eight IVs approved for investment and 6 more for warehousing and working capital, the Fund became by far the most active investor in African emerging SME funds. Overall, there has been a total of 14 SME funds that have been supported by the Fund since August 2022, and a total of 9 IVs supported by all other investors with similar mandates.



- Fund Advisor

⁴⁴ The seven target African countries of the Mastercard Foundation are Senegal, Kenya, Nigeria, Ghana, Rwanda, Ethiopia, Uganda.





According to an expert interviewed, there is a danger that the use of these mechanisms directly implies that GLI is riskier. The key distinction here is that the de-risking mechanism is used to reshape investor risk perceptions that may simply arise from a gender-based misunderstanding of GLI and a general lack of familiarity with it conceptually, not necessarily to stave off material risk.



Partnerships and Collaboration: Collaborating with like-minded organizations, industry associations, and impact investors can amplify efforts to promote GLI and create a supportive ecosystem for gender-inclusive investment practices. Partnering with institutions that have experience in gender-focused investing can provide valuable insights and resources to attract more investors to this space. Well-designed accelerator programmes can also offer FMs access to extensive networks and facilitate peer learning. However, it is imperative that these programs are meticulously structured to prevent undue strain on IVs and to ensure tangible benefits for FMs. Additionally, funds-of-funds have the opportunity to leverage their position in the investment ecosystem to share knowledge with institutional investors, thereby reshaping their perceptions of investment risk related to GLI in Africa.



Customized Investment Products: Developing tailored investment products and strategies that align with investors' goals, risk appetites, and impact objectives can attract interest in gender-inclusive opportunities. Offering innovative financial products that integrate gender considerations while delivering competitive returns can appeal to a broader range of investors. Examples may be blended finance that differentiates rates of return within the capital stack to best suit diverse investors' risk perceptions, traditional equity investors experimenting with venture debt and the use of novel instruments like outcomes-based lending tied to clear gender-related targets.⁴⁵



Impact Measurement and Reporting: Establishing robust impact measurement frameworks and transparent reporting mechanisms is essential for demonstrating the social and financial returns of gender-inclusive investments. Providing clear data on the outcomes and benefits of GLI initiatives can build trust with investors and showcase the value of integrating gender considerations into investment practices.

These approaches not only address the misconceptions and risk aversion prevalent among the broader investment ecosystem but also serve to boost overall investor confidence in gender-inclusive investment initiatives.

⁴⁵ The examples provided relate to mechanisms discussed by presenters at recent investment conferences, including Super Returns.

The potential role of institutional investors

This section explores strategies for drawing institutional investors to GLI and addresses how to overcome resistance to gender-inclusive investment opportunities.



Building the business case for GLI: According to stakeholders interviewed, encouraging further research studies and case study development to explore the success factors and obstacles of GLI is crucial. The nascency of the GLI field in Africa means that there is a dearth of credible case studies and evidence to provide a strong business case for GLI funds on the continent. This lack of information may amplify the perceived risks associated with engaging in GLI initiatives. Therefore, by fostering a deeper understanding through comprehensive studies and robust case analyses, stakeholders can gain valuable insights, enhance transparency, and build confidence in the efficacy and impact of GLI investments. Such initiatives can help dispel misconceptions, mitigate perceived risks, and catalyze increased participation and support for gender-inclusive investment strategies within the region. The need to use knowledge and learning to advocate for GLI adoption amongst institutional investors is an imperative already recognized by the Fund, and the findings here validate this aspect of its investment strategy.



Utilizing blended finance: Utilizing blended finance structures, which combine concessional capital with commercial investments, can effectively mobilize capital for GLI initiatives.⁴⁶ By blending different sources of capital, such as public funds, philanthropic grants, and private investments, blended finance mechanisms can help bridge funding gaps, lower risks, and catalyze investments in gender-inclusive projects that may be perceived as higher risk by traditional investors, including DFIs and institutional investors.⁴⁷



Enhancing ecosystem collaboration: Establishing strong networks and coordinated strategies among GLI actors, including investors, development organizations, NGOs, and government agencies, is essential to avoid duplication of efforts, to maximize resource utilization, and streamline activities such as measurement, monitoring, evaluation, and data collection. The desire for ecosystem-wide collaboration is demonstrated by the fact that many interviewed stakeholders indicated that they would welcome the opportunity to further engage the Fund to share mutual learnings. Collaboration through shared platforms, working groups, and partnerships can facilitate knowledge exchange, alignment of goals, and harmonization of approaches to enhance the overall effectiveness of GLI efforts.

Promising initiatives to transform investor risk perceptions

Across the African investment ecosystem, there have been initiatives deployed to address gender bias (implicit and explicit) in investment decision-making and targeting key decision-makers within investor processes, including the investor and fund managers themselves. These initiatives recognize the importance of providing support to investors and fund managers alike, in order to transform investor risk perceptions. The sections below discuss three prominent examples:

The Aspen Network for Development Entrepreneurs (ANDE) recognizes that the SGB sector plays a crucial role in achieving gender equality. ANDE works alongside SGB intermediaries, including fund managers, to transform how SGBs are screened, selected, funded and supported to promote a more gender responsive ecosystem. ANDE's recent initiatives in this regards include:

- Funding and disseminating research on the key topics that could transform investor risk perceptions through the **ARISE research grant**.⁴⁸ These topics include examining alternative funding models including crowdfunding, the role of bridge institutions in helping to close the gender gap in financing, and innovative credit scoring tools aimed at improving credit access for women at scale.

⁴⁶ Investing in Women (2020). A Guide for Investors in Emerging Markets. Available [here](#).

⁴⁷ Runde, D.F., Savoy, C.M & Staguin, J (2021). Supporting Small and Medium Enterprises in Sub-Saharan Africa through Blended Finance, Center for Strategic & International Studies. Available [here](#).

⁴⁸ More information is available [here](#).

- Through the **ANDE Gender Equality Initiative (AGEA)**, in partnership with USAID’s Gender Equity and Equality Action (GEEA) Fund and the Visa Foundation, ANDE aims to advance women as key decision makers, including as fund managers, board members, mentors and SGB owners. The AGEA consists of a number of re-granting facilities which ANDE has used to:
 - Support communities of practice through its learning labs in each region
 - Seed the ANDE Advancing Women’s Empowerment Fund which piloted scalable solutions to close the gender financing gap
 - Deploy pay-for-results grants to cover the costs of introducing gender lens approaches but where investors are only paid contingent on the achievement of clear gender goals
 - Designed and implemented a Capacity Building facility focused on helping investors build the technical know-how to incorporate gender into investment thesis and processes.

The last-mentioned Capacity Building facility has engaged fund managers and entrepreneurs alike to better understand how intersectional gender issues affect investment decision-making. This includes co-funding **Renew Capital’s SME Gender Growth Acceleration (SG2X) Playbook**, which includes practical tools to aid in building gender-smart, scalable SMEs in sub-Saharan Africa. The full Playbook⁴⁹ provides detailed and step-by-step support across the investment cycle.

In their **Standards of Practice (2023)**, **Criterion Institute**⁵⁰ posits an approach designed to disrupt how finance works, by disrupting power dynamics. These power dynamics are entrenched and give life to practices that present obstacles to gender equality. By using three leverage points (investment analysis, structures and processes), the proposed Standards of Practice aim to shift whatever may be getting in the way of gender equality goals. This is operationalized through the 4 principles that anchor the Standards:

- **Will to Act** to create change that addresses power
- **Integrity** to ensure that actions align with stated goals
- **Accountability** promoted through openness
- **Inclusion** by intentionally honoring diverse voices and including these in decision-making

Implicit in the Standards of Practice (2023) is for diverse investors to work as standard setters and use their power to advance shifting practices in a way that will advance gender equality. Specific to investor risk perceptions, focusing on the leverage point of investment analysis, a power dynamic exists in valuing traditional data sources over gender data, with limited transparency on what data is used by investors to evaluate operating risks. A revised practice may explicitly value gender data in investment risk analysis and also disclose what gender has been used in the analysis, for example, sex-aggregated turnover rates to assess operating risk or incidence of gender-based violence to assess political risk.⁵¹ Operationalizing the revised practice is understood relative to the costs of changes required, an analysis of the power the standard setter will need to implement the practice, and indicators of change related to the 4 principles listed above.

Importantly, Criterion Institute focused on standards rather than process shifts because investors have indicated that shifting risk perceptions, mindsets, power dynamics and practice requires external legitimization. It isn’t enough for investors to independently adopt more equitable practices, but rather that the stakeholders active in the investment ecosystem work collectively to reinforce and validate these practices so that they become standards. In this way, the Standards of Practice aim to not only transform investor risk perceptions, but also to shift and improve the investment ecosystem towards improved standards of practice.

49 Available [here](#).

50 Available [here](#).

51 Criterion Institute (2021). Gender-based Violence: A Hidden Indicator of Political Risk. Available [here](#).



5

Future Directions and Recommendations

The following recommendations have been developed based on feedback provided from IVs during the interview process.

Consideration for Fund Managers' Capabilities: It is essential for entities managing investment funds to be aware of the practical limitations first-time and emerging fund managers face that may present as heightened investment risk, but may be informed by another gender-related underlying factor. This should especially be recognized when establishing criteria for fund managers applying to the funds-of-funds, and in how criteria are applied during the screening process. Application and reporting processes should be designed to be equitable and sensitive to the constraints that first-time and emerging FMs, including women FMs, may encounter. This includes examining the underlying power dynamics inherent in application and reporting processes, which may limit gender equality in funds-of-funds processes.

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From my experience in the venture capital space, there's often a heavy focus on pitch decks. Entrepreneurs have to create an impressive presentation deck and pitch their startup within a few minutes, aiming to secure investment. This process emphasizes the performance of expertise and the ability to afford professional presentation materials, which not everyone can do. It overlooks the true financial needs and capabilities of businesses.

There's a tendency to assess women-led initiatives more on risk mitigation than on their potential for growth, which can lead to biased investment decisions. We need to reframe the narrative to recognize GLI as an opportunity with upside potential.

”

- Expert Stakeholder



Reevaluation of Risk by Investors: Investors are urged to undertake a thorough reevaluation of the traditional views of risk, especially in the context of GLI and its presence in African markets. This entails a shift in perspective to see beyond the perceived limitations and instead focus on the expansive opportunities and potential that GLI-focused funds offer.

It also entails recognizing alternative data and novel approaches to analysis to ensure multiple layers of information, and information more appropriate to GLI, are used. By adopting a more opportunity-centric approach, investors can contribute to shifting risk perceptions, which can catalyze the growth of ventures that prioritize gender equality as well as yield financial returns.

Promoting Evidence-Based Decisions: A paradigm shift in investment norms necessitates that investors' perceptions align with evidence-based realities. To facilitate this transition, investors need to have access to comprehensive data and research that demonstrate the success and viability of GLI. Materials such as this learning brief should be complemented with other empirical evidence, including articles, case studies, and reports, to combat misconceived notions of risk regarding GLI. This evidence serves not only as a counterpoint to perceptions but also as a critical resource for institutional investors who prioritize documented performance and outcomes to inform their investment decisions.

Institutional Education and Training: To cultivate a new generation of investment professionals equipped with an understanding of GLI, it is recommended to integrate GLI-focused modules and content into higher education curricula. Courses should encompass analyses of power dynamics and the impact of gender on investment practices, thereby laying the groundwork for students to recognize and challenge biases. By addressing these issues academically, future professionals will be better prepared to navigate terms and concepts—such as term sheets, risk assessments, and due diligence—that have traditionally been treated as gender-neutral but may carry underlying biases.

While the Fund is actively aiming to shift investor risk perceptions, this work is at an early stage as the Fund's portfolio continues to grow and mature. Critical for the Fund will be to share lessons on the efficacy of its efforts to shift investor risk perceptions over time, and to continuously monitor these efforts in order to continuously improve its own practice.

This may include:

- Experimenting with novel approaches to shifting risk perceptions and practices, for example by utilizing Criterion Institute's Standards of Practice as a framework.
- Actively working to share knowledge and educate other investors, especially DFIs and institutional investors, in how risk presents in GLI and can be mitigated.
- Recognizing that implicit and explicit bias may still color the Fund's own risk perceptions, and actively working to reflect and address how these biases present.



Conclusion

The GLI landscape is expanding across Africa, yet women still struggle with representation at the senior levels of private equity and as proprietors of SMEs. Despite these disparities, there is a positive trend toward gender inclusivity within the continent's local funds, as seen in the ownership statistics that outpace the global norms for women in private equity and venture capital.

This learning brief brings to light the prevalent perception among investors that GLI in African markets is associated with heightened risk when, in fact, it offers promising commercial and societal benefits. It calls for a reevaluation of risk perceptions to differentiate between standard market risks and those erroneously attributed to GLI due to gendered biases. Furthermore, this brief advocates for more nuanced criteria that acknowledge the unique challenges faced by women fund managers, suggesting that investment practices evolve to support rather than impede GLI's growth. Readdressing risk perceptions could unlock the broader adoption of GLI strategies that not only advance gender equality but also demonstrate robust financial returns.

By implementing the recommendations put forward in this brief, the investment ecosystem can work collaboratively towards systemic change that not only promotes GLI but also advances gender equality as an intrinsic part of investment practices. This shift has the potential to create a more diverse, equitable, and resilient investment ecosystem.

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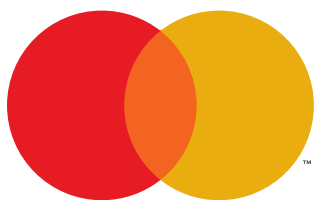
Appendix 1

List of consulted ecosystem stakeholders

Table 1 below provides a breakdown of the ecosystem stakeholders who were interviewed as part of the primary data collection process for this learning brief.

Table 1: Breakdown of consulted ecosystem stakeholders

Organization Name	IVs in portfolio	IVs not in portfolio	Investor	Expert
Completed Consultations				
Renew Capital	☒			
EXEO Capital		☒		
Dutch Goodgrowth Fund (DGGF)			☒	
ANZA Capital		☒		
IPDEV/IPDEV2/IPAE			☒	
Triple Jump			☒	
Tshiamo Impact		☒		
Digital Africa Ventures		☒		
Criterion				☒
Chui Ventures	☒			
Five35		☒		
Seedstars		☒		
FSD Africa			☒	
SASME Fund		☒		
Alithea IDF (2 Interviews)		☒		
Business Partners International		☒		
Hugues Vincent-Genod				☒
Thuso Partners		☒		
VestedWorld	☒			
WIC Capital	☒			



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